BEFORE THE NATIONAL COMPANY LAW TRIBUNAL

ALLAHABAD BENCH, ALLAHABAD

Company Petition No. CP (CAA) No. 218/ALD of 2020
Connected with
Company Application No. CA (CAA) No. 176/ALD of 2020
(Under Section 230, 232 & 66 of the Companies Act, 2013)

IN THE MATTER OF COMPANIES ACT, 2013

AND

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

1. **Lalkuan Stone Crushers India Pvt Ltd**, a private limited company incorporated under the Companies Act, 1956 and having its registered office at Kumar Oxygen Compound, Rampur Road, Rudrapur-263 153, Uttarakhand.

..... Petitioner Company No. 1/Transferor Company

AND

2. **Kumar Ispat Pvt Ltd**, a private limited company incorporated under the Companies Act, 1956 and having its registered office at Kumar Oxygen Compound, Rampur Road, Rudrapur-263 153, Uttarakhand.

..... Petitioner Company No. 2/Transferee Company

ORDER DELIVERED ON : 07.01.2021

CORAM:
Hon'ble Mr. Justice (Retd.) Rajesh Dayal Khare, Member, Judicial

For the Applicant Companies: **Mr.Rajeev Kumar Goel, Adv Alongwith Mr. Ankit Kumar Singh, PCS**
For the Official Liquidator : **Mr. Kuldeep Singh, AOL**
For the Income Tax Department: **Mr. Gaurav Mahajan, Adv**
For ROC : **Mr. Krishna Dev Vyas, Adv**

Per se: Mr. Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)

ORDER

1. The Present Petition is filed by Petitioner Companies under Sections 230, 232& 66 of the Companies Act, 2013 read with Rules framed thereunder, as in force from time to time, for the Sanction of the proposed Scheme of Amalgamation of Lalkuan Stone Crushers India Pvt Ltd with Kumar Ispat Pvt Ltdand their respective Shareholders and Creditors **(hereinafter referred to as "Scheme" or "Scheme of Amalgamation")**.

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(A copy of the Scheme has been annexed and marked as Annexure P-1 to the Company Petition No. 218/ALD of 2020).

2. The proposed Scheme of Amalgamation has previously been approved by the Board of Directors of the Transferor Company and the Transferee Company in the respective meetings held on 9th July, 2020.

3. The factual position of the Authorized, Issued, Subscribed and Paid up share Capital of both the Petitioner Companies are described well in the present Company Petition, which are being reproduced hereunder:

a. *The Authorised Share Capital of the Transferor Company is ₹40,00,000 divided into 3,80,000 Equity Shares of ₹10 each aggregating ₹38,00,000; and 20,000 Preference Shares of ₹10 each aggregating ₹2,00,000. The Present Issued, Subscribed and Paid-up Capital of the Company is ₹24,22,410 divided into 2,32,032 Equity Shares of ₹10 each aggregating₹23,20,320; and 10,209 (9% Non-cumulative) Compulsorily Redeemable Preference Shares of ₹10 each aggregating ₹1,02,090.*

b. *The Authorised Share Capital of the Transferee Company is ₹15,00,00,000 divided into 1,45,00,000 Equity Shares of ₹10 each aggregating ₹14,50,00,000; and 5,00,000 Preference Shares of ₹10 each aggregating ₹50,00,000. The present Issued, Subscribed and Paid-up Share Capital of the Company is ₹50,47,530 divided into 3,54,753 Equity Shares of ₹10 each aggregating₹35,47,530; and 1,50,000 (9% Non-cumulative) Compulsorily Redeemable Preference Shares of ₹10 each aggregating ₹15,00,000.*

4. The Rationale of the proposed Scheme of Amalgamation is elaborately described in the present Company Petition which may be summarized as under:

a. *Both the Transferor Company and the Transferee Company are closely held private limited Group Companies under common management and control. The proposed amalgamation of the Transferor Company with the*

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Transferee Company would result in business synergy, consolidation of these Group Companies and pooling of their resources into a single entity.

b. *The proposed Scheme of Amalgamation would result in pooling of physical, financial and human resource of these Companies for the most beneficial utilization of these factors in the combined entity.*

c. *The proposed Scheme of Amalgamation will result in usual economies of a centralized and a large company including elimination of duplicate work, reduction in overheads, better and more productive utilization of financial, human and other resource and enhancement of overall business efficiency. The proposed Scheme will enable these Companies to combine their managerial and operating strength, to build a wider capital and financial base and to promote and secure overall growth.*

d. *The proposed amalgamation will result in significant reduction in multiplicity of legal and regulatory compliances and will enhance the management efficiency.*

e. *The Transferee Company has some strategic/non-promoter shareholders. Since the Transferee Company is an un-listed company, there is no mechanism/platform available to these Shareholders to sell/dispose-off these shares, if they so wish. In order to provide an exit opportunity to all the strategic/non-promoter shareholders, it is proposed to re-organise the share capital of the Transferee Company, by cancelling 1,10,521 Equity Shares of ₹10 each aggregating to ₹11,05,210 held by the strategic/non-promoter shareholders; and to issue equivalent number of (9% non-cumulative) Compulsorily Redeemable Preference Shares of ₹10 each in place of such cancelled Equity Shares. The proposed re-organisation of share capital will provide a permanent liquidity option for illiquid shares of the Transferee Company.*

f. *It is clarified that the aforesaid re-organisation of Share Capital would not involve either the diminution of any liability in respect of un-paid share capital or payment to any shareholder of any paid-up share capital. None*

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of the Companies is proposing any buy-back of shares from its shareholders.

g. *It is further clarified that no creditor of the Transferor Company and the Transferee Company will be adversely affected by the proposed re-organisation of share capital. Compulsorily Redeemable Preference Shares to be issued in terms of this Scheme, shall be redeemed in accordance with the provisions of the Companies Act, 2013, relating to the redemption of preference shares. Hence, such redemption of Preference Shares will not be deemed to be a reduction of capital of these Companies.*

h. *The proposed Scheme would enhance the shareholders' value of the Transferor Company and the Transferee Company.*

i. *The said Scheme of Amalgamation will have beneficial impact on Transferor Company and the Transferee Company, their shareholders, employees and other stakeholders and all concerned.*

j. *The Scheme of Amalgamation is proposed for the aforesaid reasons. The Board of Directors and Management of the Transferor Company and the Transferee Company is of the opinion that the proposed Scheme is in the best interest of these Companies and their stakeholders.*

5. The Petitioners have stated that the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013.

(Certificates from the respective Statutory Auditors of the Petitioner Companies are annexed and collectively marked as Annexure P-6 to the Company Petition No. 218/ALD of 2020)

6. It has also been stated in the Petition that none of the Directors of the Petitioner Companies have any material interest in the Scheme, save as except to the extent of shareholding in the abovementioned Petitioner Companies.

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7. It has also been stated in the Petition that the Scheme is not prejudicial to the interest of the Shareholders and Creditors of the PetitionerCompanies and the Petition is made *bonafide* and is in the interest of both the Petitioner Companies and their Shareholders, Secured Creditors and Un-secured Creditors as a whole and is also just and equitable.

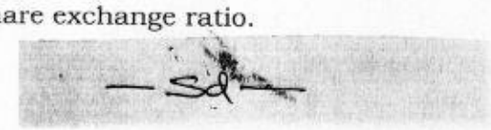
8. It is also submitted that the Board of Directors of the Petitioner Transferor Company and the Transferee Companyhave determined the share exchange ratio as under:

a. *The Transferee Company will issue 88 (eighty-eight) Equity Shares of ₹10 each, credited as fully paid up, for every 100 (one hundred) Equity Shares of ₹10 each held in the Transferor Company-Lalkuan Stone Crushers India Pvt Ltd.*

b. *The Transferee Company will issue 1 (one) (9% non-cumulative) Compulsorily Redeemable Preference Share of ₹10 each, credited as fully paid-up, for every 1 (one) (9% non-cumulative) Compulsorily Redeemable Preference Shares of ₹10 each held in the Transferor Company-Lalkuan Stone Crushers India Pvt Ltd.*

c. *On Re-organisation of Share Capital, the Transferee Company-Kumar Ispat Pvt Ltd will issue 1,10,521 (9% non-cumulative) Compulsorily Redeemable Preference Shares (CRPS) of ₹10 each, credited as fully paid-up, in place of 1,10,521 Equity Shares of ₹10 each held by non-promoter/strategic shareholders in the Transferee Company. Consequently, 1,10,521 Equity Shares of ₹10 each aggregating to ₹11,05,210 issued by the Transferee Company will stand cancelled.*

9. The Petitioner Companies have also annexed the valuation report dated 7thJuly, 2020given by Mr Sandeep Kumar Agrawal, a Chartered Accountant and the IBBI Registered Valuer in respect of Securities or Financial Assets,in relation to the share exchange ratio.



10. A perusal of the present Petition discloses that initially the Petitioner Companies had filed a Company Application No. 176/ALD of 2020 seeking directions of this Tribunal to dispense with the requirement of convening the meetings of Equity Shareholders and Un-secured Creditors of the Transferor Company; and Preference Shareholders and Un-secured Creditors of the Transferee Company; and to convene separate meetings of Preference Shareholders of the Transferor Company; and Equity Shareholders and Secured Creditors of the Transferee Company, through video conferencing with facility of remote e-voting. Accordingly, this Tribunal vide its order dated 11th September, 2020, allowed the above mentioned prayers, by directing to convene separate meetings of Preference Shareholders of the Transferor Company; and Equity Shareholders and Secured Creditors of the Transferee Company, through video conferencing with facility of remote e-voting under its supervision for the purpose of considering and, if thought fit, approving, with or without modification(s), the proposed Scheme of Amalgamationand dispensed with the requirement of convening meetings of Equity Shareholders and Un-secured Creditors of the Transferor Company; and Preference Shareholders and Un-secured Creditors of the Transferee Company. The Transferor Company did not have any Secured Creditor.

11. A perusal of the present Petition discloses that in pursuance of the directions contained in Order dated 11th September, 2020, passed by this Tribunal in Company Application No. 176/ALD of 2020, separate meetings of Preference Shareholders of Lalkuan Stone Crushers India Pvt Ltd;Equity Shareholders and Secured Creditors of Kumar Ispat Pvt Ltd were convened and held through Video Conferencing, on Wednesday, 21st October, 2020, as per the following schedule:

Sl. No.	Meeting of	Time
1.	Preference Shareholders of Lalkuan Stone Crushers India Pvt Ltd (the Transferor Company)	11:30 A.M.
2.	Equity Shareholders of Kumar Ispat Pvt Ltd	12:30 Noon

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	(the Transferee Company)	
3.	Secured Creditors of Kumar Ispat Pvt Ltd (the Transferee Company)	2:30 P.M.

The requisite quorum was present, and the Scheme was approved unanimously by the Preference Shareholders of Lalkuan Stone Crushers India Pvt Ltd; andEquity Shareholders and Secured Creditors of Kumar Ispat Pvt Ltd, without any modifications. The common Chairperson appointed for the meetings has filed his reports dated 22nd October, 2020 which are annexed as Exhibit No. 1, 2 and 3 to the Petition.

12. This Tribunal vide its order dated 9th November, 2020 directed to issue notice of hearing in respect of present Company Petition to the Statutory Authorities and also to make paper publication in this respect in **English Newspaper-"Business Standard", Delhi Edition and Hindi Newspaper-"Dainik Jagran", Haldwani Edition.**

13. In compliance thereof, the Petitioner Companies have filed Affidavit of service and publication, confirming that notices have been duly published in **English Newspaper-"Business Standard", Delhi Edition and Hindi Newspaper-""Dainik Jagran", Haldwani Edition.** The Petitioner Companies havealso served notice of the Company Petition to (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttarakhand, Dehradun; (c) The Official Liquidator, Uttarakhand, Dehradun;and (d) the Income Tax Department.

14. In response to the above stated notice, the Regional Director has filed his report/affidavit dated 17th December, 2020, along with the report of the Registrar of Companies. The Regional Director, in Para 10 of his Report, has submitted that the Petitioner Transferee Company may be directed to comply with the requirements of section 232(3)(i) of the Companies Act,

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2013, with respect to the payment of the balance fee on the increase in its authorised share capital pursuant to the Scheme of Amalgamation.The Learned Regional Director, in Para 11 of his Report, has further submitted that the Ministry of Corporate, New Delhi vide Office Memorandum No. 05/08/2019-CL-V dated 14thAugust, 2020, has stated that e-form SH-7 does not allow conversion of Equity Shares into Preference Shares since such conversion is not permissible under the Companies Act, 2013 and only conversion of Convertible Preference Shares into Equity Shares should be allowed.

In response to the Report filed by the Regional Director, both the Petitioner Companies havefiled Affidavitswherein they have confirmed and undertaken that the Transferee Company will comply with the provisions of section 232(3)(i) of the Companies Act, 2013, and other applicable provisions, if any, and make the requisite payment to the Registrar of Companies and other authorities, if any, on increase of its authorised capital subsequent to the sanction of the Scheme of Amalgamation.The Petitioner Companies havefurther clarified and confirmed that the Office Memorandum of the MCAwhich was referred to by the Learned RD, is not applicable/relevant in the present Scheme of Amalgamation as there is no proposal for conversion of Authorised Equity Share Capital of any of the Petitioner Companies into the Preference Share Capital or vice versa. Noe-form SHA-7 is required to be filed by the any of the Petitioner Companies pursuant to the provision of the Scheme of Amalgamation.The Petitioner Companieshave undertaken to make the requisite payment to the Registrar of Companies and other authorities, if any, on increase of authorised share capital subsequent to the sanction of the Scheme of Amalgamation.

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Accordingly, the observations made by the Learned Regional Director have been duly satisfied by the Petitioner Companies.

15. The Official Liquidator has also filed his report and no objection has been raised by him to the proposed Scheme of Amalgamation.

16. The Income Tax Department has also issued 'No Objection' Letters with respect to both the Petitioner Companies.

17. I have gone through the reports of the Ld. Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi, the Official Liquidator, New Delhiand the Income Tax Department;and the Reply Affidavits filed by the Petitioner Companies.After perusing the same,I am of the view that the sanction of the present Scheme is not against public policy, nor it would be prejudicial to the public interest at large.

18. In addition to above, all the statutory compliance either seems to have been complied with or further undertaken for making compliances by Petitioner Companies. Therefore, the present Company Petition deserves to be allowed in terms of its Prayer clause. In the result, the Scheme of Amalgamation annexed to Company Petition is duly approved and hereby sanctioned.

19. In the result, the proposed Scheme of Amalgamation which is annexed to the Company Petition stand approved and sanctioned. Petitioner Companies are required to act upon as per terms and condition of the sanctioned Scheme and the same to be binding on its Shareholders, Secured Creditors and Un-secured Creditors of the above named PetitionerCompanies and also on the Petitioner Companies with effect from the appointed date, i.e., 1st day ofApril, 2020.

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20. While approving the Scheme as above, it is clarified that this order should not be construed as, in any way, granting exemption from payment of stamp duty (if any is applicable), taxes (including Income Tax, GST or any other charges, if any are applicable) and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.Also, the Transferor Company shall stand dissolved without undergoing the process of winding up.

21. The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration.

22. All concerned regulatory authorities to act on a copy of this order annexed with the Scheme duly authenticated by the Assistant Registrar, National Company Law Tribunal, Allahabad Bench.

23. Any person interested shall be at liberty to apply before this Tribunal in the above matter for such directions as may be necessary.

24. Accordingly, the present Company Petition bearing **CP No.218/ALD of 2020** is allowed and stands disposed of.

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JUSTICE RAJESH DAYAL KHARE

MEMBER (J)

Date: 07.01.2021

Swati Gupta
(LRA)